

ANALYSIS REPORT

A STUDY ON RETIREMENT PREPAREDNESS, SAVING BEHAVIOUR AND FINANCIAL AWARENESS AMONG INDIVIDUALS

4.1 INTRODUCTION

This chapter covers the analysis and interpretation of data gathered from the respondents on their retirement planning behavior and level of preparedness. The data were effectively evaluated using percentage analysis, descriptive statistics, chi-square test, correlation analysis, reliability analysis and regression analysis. The tools are helpful in understanding the respondents' retirement planning patterns and the association between the different variables.

4.2 DEMOGRAPHIC PROFILE OF THE RESPONDENTS

Table 4.1 Gender Distribution of Respondents

		Frequency	Percent
Valid	Male	54	54.0
	Female	46	46.0
	Total	100	100.0

Source: Primary Data

As seen from the table, 54% of the respondents were males while 46% were females. This indicates a fairly balanced gender distribution of the respondents included in the study.

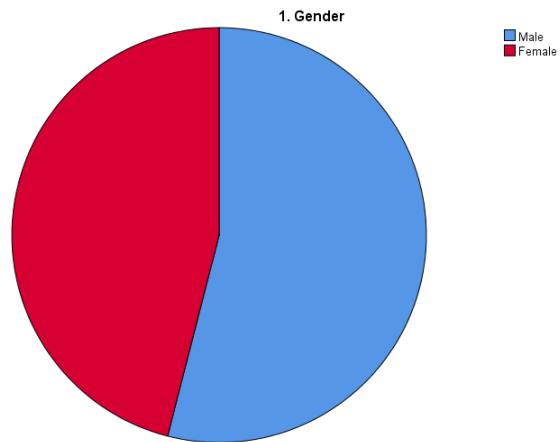


Figure 4.1 Gender Distribution of Respondents

Source: Primary Data

Table 4.2 Age-wise Distribution of Respondents

		Frequency	Percent
Valid	18 - 29	48	48.0
	30 - 39	39	39.0
	40 - 49	7	7.0
	50 - 59	5	5.0
	60+	1	1.0
	Total	100	100.0

Source: Primary Data

The majority of respondents (48%) belonged to the age group of 18–29 years, followed by 39% in the 30–39 age category. This indicates that younger individuals formed a major portion of the sample population.

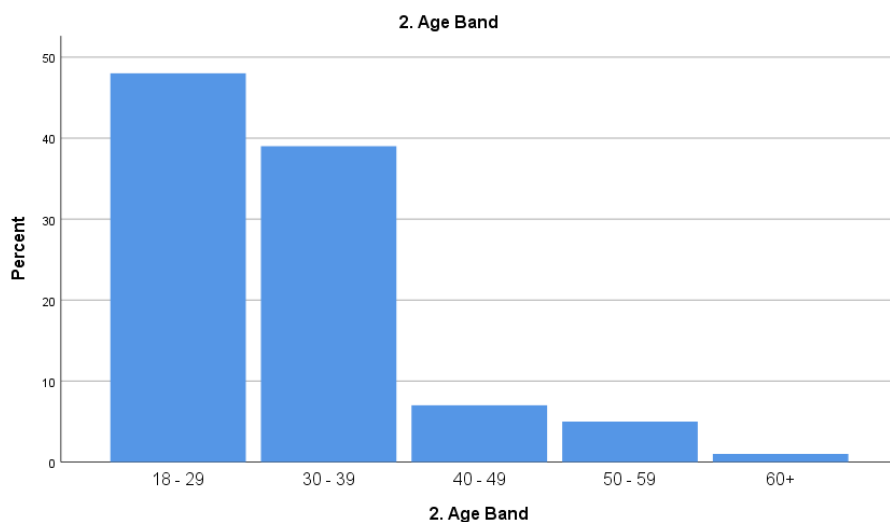


Figure 4.2 Age-wise Distribution of Respondents

Source: Primary Data

Table 4.3 Employment Type of Respondents

		Frequency	Percent
Valid	Agriculture / farm	2	2.0
	Informal / self employed (non farm)	13	13.0
	Formal private sector salaried	60	60.0
	Gig or platform work	4	4.0
	Government / public sector	21	21.0
	Total	100	100.0

Source: Primary Data

The findings reveal that a majority of respondents (60%) were employed in the formal private sector, followed by 21% working in the government/public sector. Only a small proportion of respondents were engaged in agriculture and gig employment, indicating that most participants had relatively structured forms of employment.

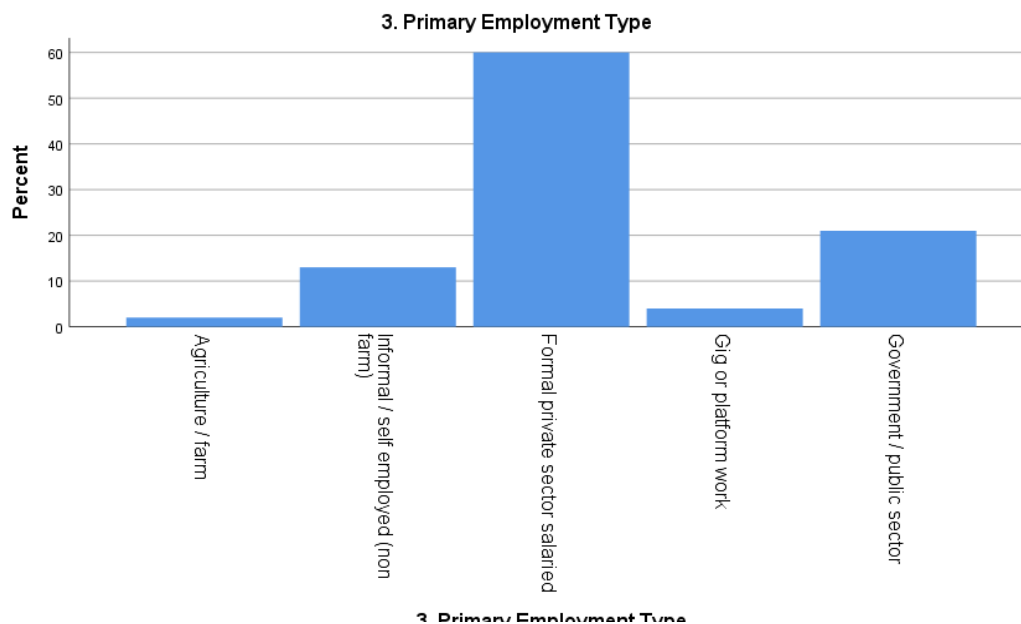


Figure 4.3 Employment Type of Respondents

Source: Primary Data

Table 4.4 Monthly Income Distribution of Respondents

		Frequency	Percent
Valid	< 20,000	21	21.0
	20,000 – 39,999	39	39.0
	40,000 – 79,999	27	27.0
	80,000 – 1,49,999	10	10.0
	≥ 1,50,000	3	3.0
	Total	100	100.0

Source: Primary Data

The results show that the majority of respondents (39%) had a monthly household income ranging between ₹20,000 and ₹39,999, while 27% earned between ₹40,000 and ₹79,999. This indicates that most of the respondents belonged to middle-income households.

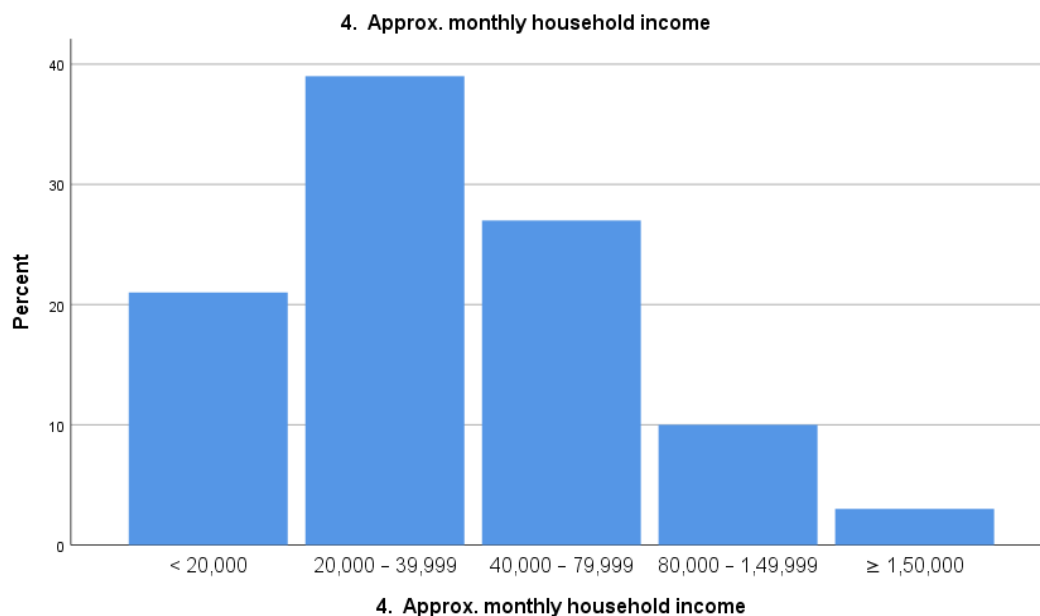


Figure 4.4 Monthly Income Distribution of Respondents

Source: Primary Data

Table 4.5 Educational Qualification of Respondents

		Frequency	Percent
Valid	Up to Class 10	2	2.0
	Class 12	2	2.0
	Diploma / ITI	3	3.0
	Bachelor's degree	48	48.0
	Post graduate / Professional	45	45.0
	Total	100	100.0

Source: Primary Data

The educational profile of the respondents shows that 48% held a bachelor's degree, while 45% possessed postgraduate or professional qualifications. This indicates that the study mainly consisted of a relatively well-educated sample population.

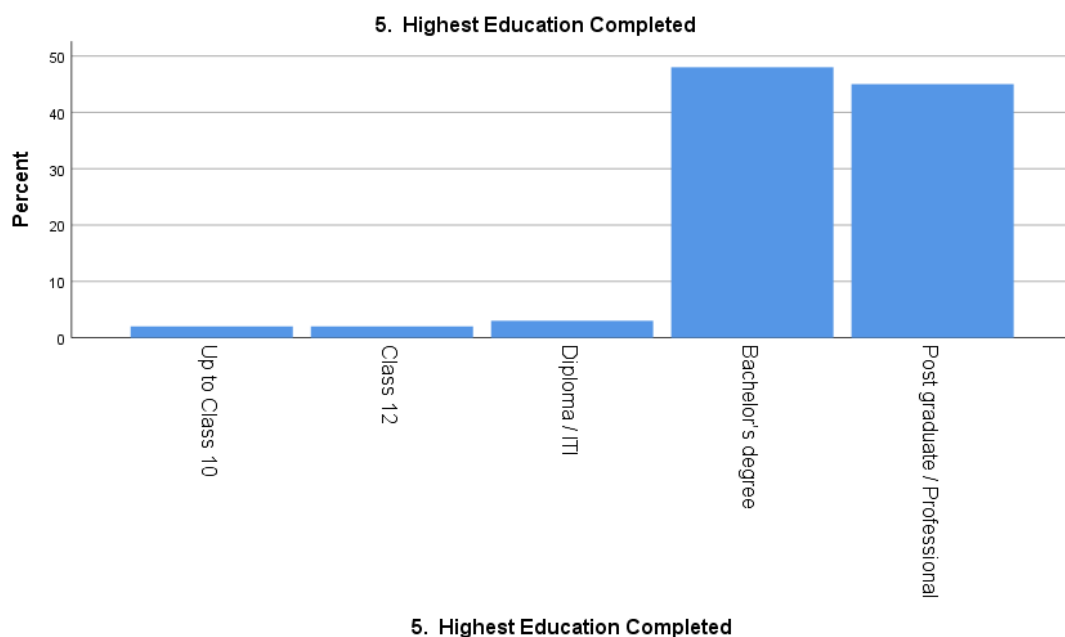


Figure 4.5 Educational Qualification of Respondents

Source: Primary Data

4.3 DESCRIPTIVE STATISTICS

Table 4.6 Descriptive Statistics of Retirement Planning Variables

Variables	Mean	Std. Deviation
Confidence in understanding NPS	3.27	1.205
Retirement savings share	2.71	1.047
Self-efficacy	3.89	0.852
Procrastination in retirement decisions	2.80	0.985
Retirement investment preference	2.87	1.031
Impact of automatic enrolment	1.73	0.790
Retirement preparedness	3.29	1.140

Source: Primary Data

Table 4.6 shows descriptive statistics (mean and standard deviation) for the main variables on the retirement planning and preparedness of respondents.

The variable “Self-efficacy in managing retirement investments” had the highest mean (3.89) among all variables. Respondents were confident about how they would handle their retirement investments. The average ratings of “Overall retirement preparedness” (3.29) and “Confidence in understanding NPS” (3.27) indicate moderate levels of retirement preparedness and awareness of retirement planning schemes.

The mean value of the variable “Share of monthly income saved for retirement” was 2.71, which indicated that the respondents saved a moderate share of their monthly income for retirement. Also the average of procrastinating decisions regarding retirement (2.80) indicates that some respondents sometimes procrastinate decisions regarding retirement planning.

The lowest mean score is 1.73 for “Impact of automatic enrolment” which means that most respondents were happy to remain in pension schemes with automatic enrolment provision.

The findings suggest that respondents are relatively well prepared for retirement and are relatively confident in their ability to manage retirement investments.

4.4 RELIABILITY ANALYSIS

4.4.1 To assess the reliability and internal consistency of the retirement planning scale

Reliability analysis was conducted to examine the internal consistency of the retirement planning scale used in the study.

Reliability Statistics of Retirement Planning Scale

Scale: ALL VARIABLES

Table 4.7
Reliability Statistics

Cronbach's Alpha	N of Items
.586	4

Source: Primary Data

The internal consistency of the retirement planning scale used in this study was tested through reliability analysis. Cronbach's Alpha value obtained for the four items included in the analysis was 0.586. This value indicates a moderate level of agreement for the variables related to retirement planning behavior and preparedness.

The reliability coefficient is just below the commonly accepted benchmark of 0.70 but can still be considered acceptable in exploratory and behavioural research contexts. The results show that the chosen variables are reliable enough and can be further used for statistical analysis in this study.

4. 5 CROSSTABS AND CHI-SQUARE TEST

4.5.1 To examine the relationship between demographic factors and retirement preparedness

Table 4.8 Gender × Retirement Preparedness Crosstabulation

			Retirement preparedness			Somewhat prepared	Very prepared	Total
			Not prepared at all	Somewhat unprepared	Neutral			
Gender	Male	Count	11	5	12	21	5	54
	Female	Count	0	3	23	12	8	46
Total		Count	11	8	35	33	13	100

Source: Primary Data

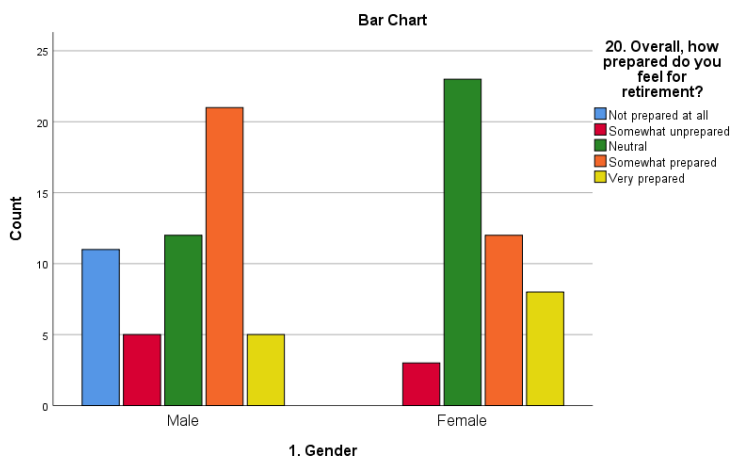
Chi-Square Tests			
	Value	df	Asymptotic Significance (2-sided)
Pearson Chi-Square	17.576 ^a	4	.001

Source: Primary Data

Chi-square test of independence was conducted to examine if there is an association between

respondent gender and overall retirement preparedness. Gender and retirement preparedness were associated statistically ($\chi^2 = 17.576$, $df = 4$, $p = 0.001$). The p value is <0.05 . We reject the null hypothesis.

The crosstabulation indicates that male respondents registered relatively higher levels of retirement preparedness than female respondents. Males were more likely to be in the “somewhat prepared” category, and females were more likely to be in the neutral and somewhat unprepared categories. This suggests that gender might play a role in how ready the respondents feel for retirement.



Source: Primary Data

Table 4.9 Age Band × Retirement Preparedness Crosstabulation

			Retirement preparedness					
			Not prepared at all	Somewhat unprepared	Neutral	Somewhat prepared	Very prepared	Total
Age Band	18 - 29	Count	8	5	18	14	3	48
	30 - 39	Count	1	2	13	14	9	39
	40 - 49	Count	0	1	1	4	1	7
	50 - 59	Count	1	0	3	1	0	5
	60+	Count	1	0	0	0	0	1

Source: Primary Data

Chi-Square Tests			
	Value	df	Asymptotic Significance (2-sided)
Pearson Chi-Square	23.712 ^a	16	.096

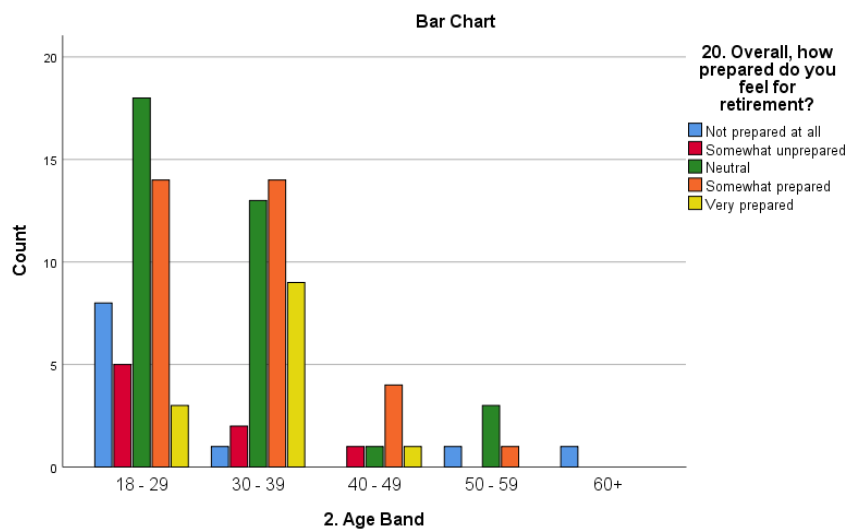
Source: Primary Data

Chi-square test was used to examine the association between age groups and overall retirement preparedness.

The results show no statistically significant association between age band and retirement preparedness ($\chi^2 = 23.712$, $df = 16$, $p = 0.096$). The p value is greater than 0.05. Hence we accept the null hypothesis.

The crosstabulation shows that respondents aged 30–39 had relatively higher levels of preparedness than younger respondents. However results should be treated with caution as several cells had expected counts of less than 5.

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Source: Primary Data

Table 4.10 Monthly Household Income × Retirement Preparedness Crosstabulation

			Retirement preparedness					
			Not prepared at all	Somewhat unprepared	Neutral	Somewhat prepared	Very prepared	Total
Monthly household income	< 20,000	Count	3	2	11	3	2	21
	20,000 – 39,999	Count	5	4	14	10	6	39
	40,000 – 79,999	Count	2	2	8	11	4	27
	80,000 – 1,49,999	Count	1	0	1	7	1	10
	≥ 1,50,000	Count	0	0	1	2	0	3
Total			11	8	35	33	13	100

Source: Primary Data

Chi-Square Tests

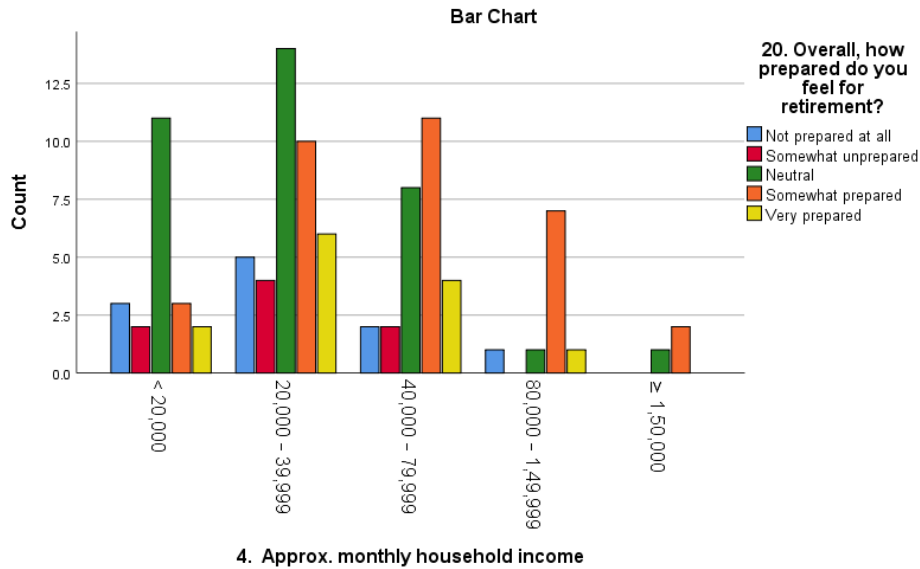
	Value	df	Asymptotic Significance (2-sided)
Pearson Chi-Square	15.604 ^a	16	.481

Source: Primary Data

Chi-square test was performed to examine the association of the monthly household income with overall retirement preparedness.

The results suggest that there is no statistically significant relationship between household income and preparedness for retirement ($\chi^2 = 15.604$, $df = 16$, $p = 0.481$). p-value is greater than 0.05 and thus the null hypothesis is accepted.

However, the linear-by-linear association was significant ($p = 0.039$), suggesting that higher income groups might feel relatively better prepared for retirement. Many cells had expected counts less than 5, so results should be interpreted with caution.



Source: Primary Data

4.5.2 To analyse retirement saving behaviour among respondents

Table 4.9 Age Band × Share of Monthly Income Saved for Retirement Crosstabulation

			Share of monthly income saved for retirement					
			0%	<5%	5% - 10%	11% - 20%	> 20%	Total
Age Band	18 - 29	Count	8	19	17	1	3	48
	30 - 39	Count	2	11	16	7	3	39
	40 - 49	Count	0	2	1	3	1	7
	50 - 59	Count	1	1	2	1	0	5
	60+	Count	0	0	1	0	0	1
Total		Count	11	33	37	12	7	100

Source: Primary Data

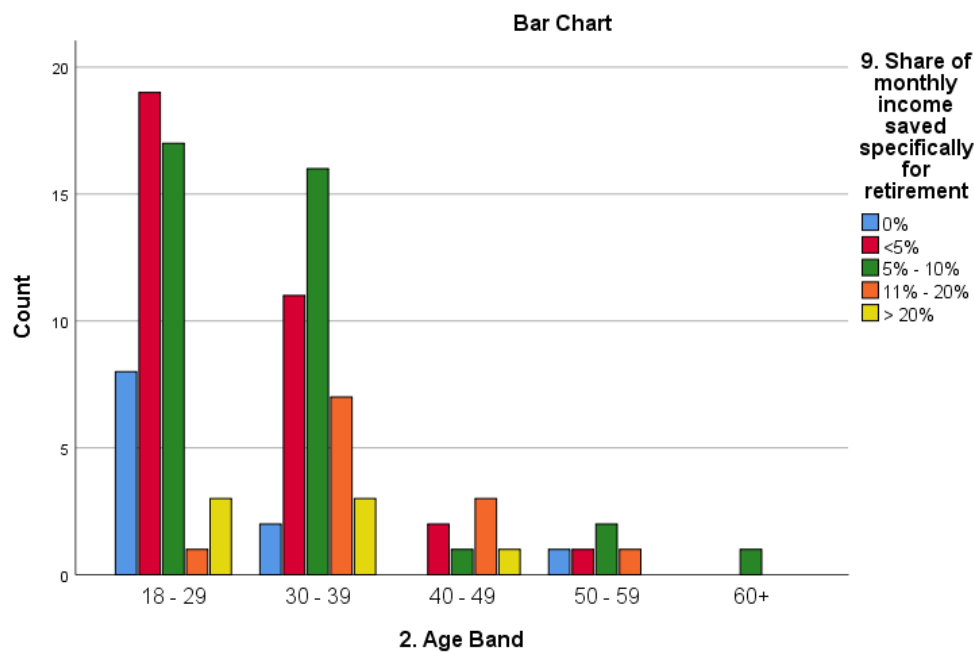
Chi-Square Tests

	Value	df	Asymptotic Significance (2-sided)
Pearson Chi-Square	19.707 ^a	16	.234

Source: Primary Data

Chi-square test was conducted to examine the association between age group and the percentage of monthly income saved for retirement. The results show that there is no statistically significant relationship between the age and the share of retirement savings ($\chi^2 = 19.707$, $df = 16$, $p = 0.234$). The p-value is larger than 0.05. Therefore we accept the null hypothesis.

The linear-by-linear association was statistically significant ($p = 0.039$), showing that retirement savings grow slowly with age. The results should be interpreted with caution as many cells had expected counts less than 5.



Source: Primary Data

Table 4.10 Monthly Household Income × Saving Style Crosstabulation

			Saving style			
			Rarely think about saving	Spend then save	Save then spend	Total
Monthly household income	< 20,000	Count	7	3	11	21
	20,000 – 39,999	Count	3	12	24	39
	40,000 – 79,999	Count	0	5	22	27
	80,000 – 1,49,999	Count	0	1	9	10
	≥ 1,50,000	Count	0	0	3	3
Total			10	21	69	100

Source: Primary Data

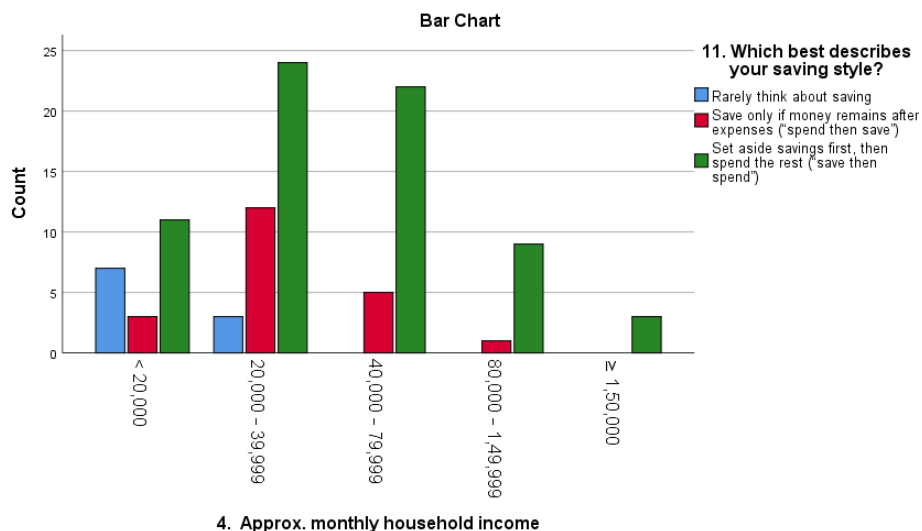
Chi-Square Tests

	Value	df	Asymptotic Significance (2-sided)
Pearson Chi-Square	21.971 ^a	8	.005

Source: Primary Data

Chi-square test was conducted to evaluate the association between monthly household income and saving style. The results show that there is a statistically significant association between household income and saving style ($\chi^2 = 21.971$, $df = 8$, $p = 0.005$). Since the p-value is less than 0.05, the null hypothesis is rejected.

The crosstabulation indicates that respondents with higher income levels were more likely to follow a “save then spend” approach, while lower income groups were more likely to save only after meeting expenses or rarely think about saving. The results should be interpreted cautiously as some cells had expected counts less than 5.



Source: Primary Data

4.5.3 To study the relationship between educational qualification and financial awareness regarding retirement schemes

Table 4.11 Highest Education Completed × Confidence in Understanding NPS Crosstabulation

			Confidence in understanding NPS					
			0%	<5%	5- 10%	11 - 20%	> 20%	Total
Highest Education Completed	Up to Class 10	Count	1	0	0	1	0	2
	Class 12	Count	1	0	1	0	0	2
	Diploma / ITI	Count	1	0	2	0	0	3
	Bachelor's degree	Count	9	0	25	6	8	48
	Post graduate / Professional	Count	2	1	20	11	11	45
Total			14	1	48	18	19	100

Source: Primary Data

Chi-Square Tests

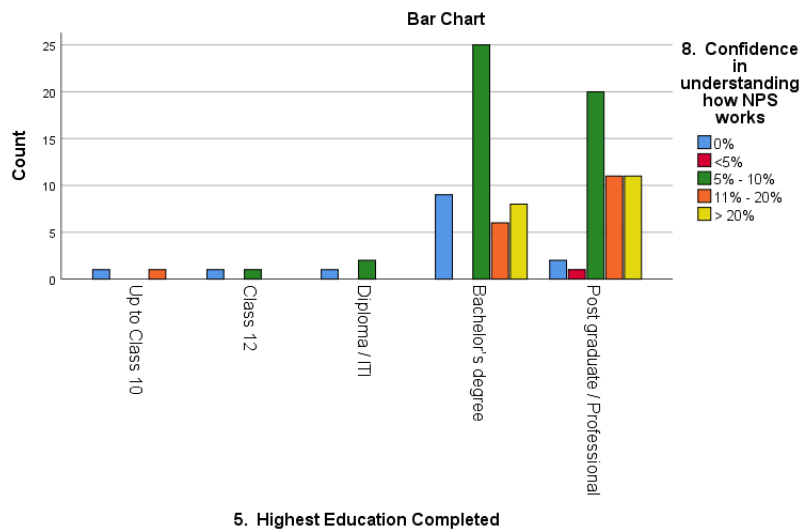
	Value	df	Asymptotic Significance (2-sided)
Pearson Chi-Square	16.952 ^a	16	.389

Source: Primary Data

Chi-square test was used to evaluate the association between education qualification and confidence to know the working of NPS.

The results shows that there is no statistically significant association between level of education and confidence in understanding NPS ($\chi^2 = 16.952$, $df = 16$, $p = 0.389$). But p-value is more than 0.05 so we accept null hypothesis.

However, the linear by linear association was statistically significant ($p = 0.003$) indicating that respondents with higher educational qualifications were more likely to report better understanding of NPS. The expected count per cell is low , so results should be interpreted with caution .



Source: Primary Data

4.6 CORRELATION ANALYSIS

4.6.1 To examine the relationship between retirement planning variables

Introduction

Correlation analysis was conducted to study the association between the variables of retirement planning such as retirement preparedness, retirement savings, self-efficacy, financial understanding & retirement-related behaviour of the respondents.

Table 4. 12 Correlation Analysis of Retirement Planning Variables

Variables		1	2	3	4	5	6	7	8
1. Confidence in understanding NPS	Pearson Correlation	1	0.087	0.005	0.183	-0.314**	-0.146	0.325**	0.325**
2. Retirement Savings Share	Pearson Correlation	0.087	1	-.149	.077	-.197*	.063	.334**	.334**
3. Self-efficacy	Pearson Correlation	0.197*	.292**	-.190	-.062	-.243*	.061	.387**	.387**
4. Procrastination in Retirement Decisions	Pearson Correlation	0.005	-.149	1	.125	.063	-.216*	-.025	-.025
5. Retirement Investment Preference	Pearson Correlation	0.183	.077	.125	1	-.014	-.180	.144	.144
6. Use of Retirement Tools	Pearson Correlation	-0.314**	-.197*	.063	-.014	1	-.041	-.355**	-.355**
7. Automatic enrolment	Pearson Correlation	-0.146	.063	-.216*	-.180	-.041	1	-.137	-.137
8. Retirement Preparedness	Pearson Correlation	0.325**	.334**	-.025	.144	-.355**	-.137	1	1

* Significant at 5% level

** Significant at 1% level

Source: Primary Data

Correlation analysis was conducted to determine the relationship among the significant factors of retirement planning among the respondents.

“The results showed that the more you knew about NPS, the more ready you felt for retirement. Respondents who indicated they saved a greater share of their monthly income for retirement also indicated greater levels of retirement preparedness.

The analysis also found that those who felt more confident about managing their retirement investments felt more confident and prepared for their retirement future. More regular saving for retirement and better saving behavior were also reported by confident respondents.

Conversely, the use of retirement calculators and online planning tools was negatively associated with retirement preparedness. Perhaps users of these tools were more aware of the gaps and uncertainties in their retirement planning.

The overall correlation analysis shows that financial awareness, confidence in handling investments and regular saving habits are significant in improving the retirement preparedness of the respondents.

CONCLUSION

The study examined crosstabulation and chi-square analysis to examine the respondents' retirement preparedness, saving behaviour and financial awareness. The gender and the monthly income of the household was significantly associated with the saving style and the retirement preparedness. Other factors such as age, education and retirement savings behaviour were weakly or not significantly associated.

Moreover, the analysis showed that people with high income and high financial literacy tend to have planned saving habits and feel more prepared for retirement. The study points to the significance of financial literacy, consistent income and good saving habits in enhancing the retirement readiness of individuals.